FROM ZERO TO TECHNICAL

Evergreen funds & why Ares is built on them

The fund structure that has changed the private markets industry — explained from nothing, then taken as deep as it goes. Includes the 2026 stress test, the honest criticisms, and Ares' full evergreen shelf.

1 The problem evergreen funds exist to solve

2 Drawdown versus evergreen, side by side

3 How one actually works: NAV, tenders, caps and the liquidity sleeve

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10 Glossary and sources

Ares figures from the FY2025 Form 10-K (SEC EDGAR, CIK 1176948) and Q1–Q2 2026 earnings materials. Market data from Morningstar/PitchBook, MSCI and HSBC. Structural detail from ASIF filings and ELTIF/LTAF regulatory sources.
Compiled 12 October 2026. Fund figures as at 31 December 2025 unless stated. Ares reports Q3 2026 on 29 October.

PART 1

The problem these funds exist to solve

Start here. Everything else is engineering built on top of one awkward mismatch.

Private assets — loans to companies, warehouses, data centres — take years to pay off. People who want to invest in them increasingly want their money back on reasonable notice. Those two facts do not fit together, and **an evergreen fund is the structure built to make them fit.**

Evergreen fund. A fund with **no end date**. Money comes in continuously, stays invested, and is reinvested indefinitely. Investors can ask to leave periodically, but only a limited amount per period. Also called **perpetual**, **semi-liquid**, or **open-ended**. These words are used almost interchangeably.

1.1 Why the old structure excluded most people

For forty years, private markets ran on one model: the **drawdown fund**. You promised £10m, the manager called it in pieces over five years, invested it, sold the assets over the following five, and gave you your money back. Then the fund closed and you did it again with the next one.

That model works fine if you are a £50bn pension scheme. It is close to impossible if you are a dentist with £200,000 to invest, for four reasons:

Why an individual could not use a traditional private fund

1. THE MINIMUM

Typical commitment:
£5m–£25m

Most individuals are excluded immediately

2. THE CAPITAL CALL

You must hold cash ready for years, to be called on ~10 days' notice.

Miss one and you default.

3. THE LOCK-UP

Your money is tied up for
10–12 years

with no exit except selling at a discount

4. THE J-CURVE

Returns are *negative* for the first 2–4 years, because fees are charged before gains arrive.

The evergreen structure removes all four. Minimums fall to a few thousand pounds. Money is invested immediately rather than called later. There is a periodic exit. And because the fund is already fully invested when you buy in, **you skip the J-curve entirely** — you are buying into a mature portfolio that is already producing income, not an empty fund that will take four years to find its feet.

The J-curve point is the one most people miss. In a drawdown fund your early years look bad on paper. In an evergreen fund you buy a slice of a portfolio that is already seasoned, so income starts almost immediately. For an individual investor that difference is often more persuasive than the liquidity.

J-curve. The shape of a drawdown fund's return chart over time. It dips below zero early (fees are charged, investments have not yet appreciated) then rises as assets are sold. Drawn out, it looks like the letter J.

PART 2

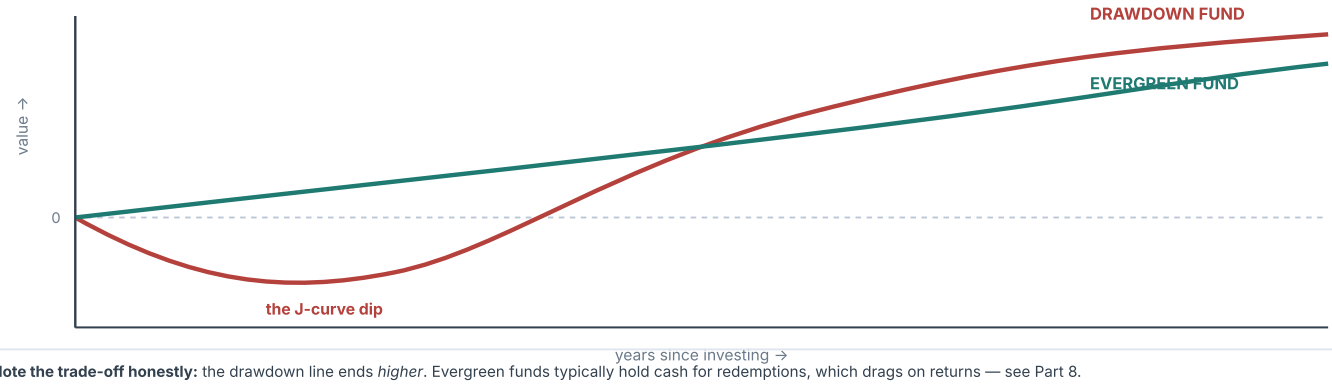
Drawdown versus evergreen, side by side

The single comparison that explains the industry's last ten years.

FEATURE	DRAWDOWN FUND TRADITIONAL	EVERGREEN FUND MODERN
Life	Fixed. Typically 10 years plus extensions. Then it dies.	**None.** It continues indefinitely.
Getting in	Only at a "close" — a window during fundraising. Miss it and you wait for the next fund.	**Monthly**, at net asset value. Continuous.

Your money	**Committed**, then called over years. You hold cash waiting.	**Fully invested from day one.** No capital calls.
Getting out	When the manager sells assets, on their schedule. Or sell your stake second-hand at a discount.	**Quarterly tender offer**, usually capped at ~5% of the fund.
Minimum	Millions.	Often **$2,500** for retail share classes.
Return pattern	J-curve: negative early, positive late.	**Steadier** — you buy into a seasoned portfolio.
Fee base	Committed capital first, then invested capital. **Steps down** after the investment period.	**NAV**, continuously. Never steps down, never ends.
Who it suits	Large institutions with dedicated teams.	Individuals, smaller institutions, insurers wanting continuous deployment.
The catch	Illiquidity, complexity, administrative burden.	**The exit is rationed.** In stress, you may not get all your money when you ask.

The shape of the two experiences — illustrative, not actual returns



Note the trade-off honestly: the drawdown line ends *higher*. Evergreen funds typically hold cash for redemptions, which drags on returns — see Part 8.

The evergreen line is smoother and starts producing sooner. The drawdown line is bumpier but, for a good manager, often finishes ahead. **Evergreen is a trade of some return for a lot of accessibility.**

PART 3

How one actually works

The machinery, piece by piece. This is the part worth genuinely understanding.

3.1 What is inside the fund

An evergreen fund is not one portfolio. It is **two**, deliberately, and the split is the central design decision the manager makes.

Inside the fund: the engine and the shock absorber

LIQUIDITY SLEEVE
~5–20%
Cash, money market funds, short-dated public credit, broadly syndicated loans
Pays for redemptions

THE PRIVATE ASSETS
~80–95%
Directly originated loans, property, infrastructure. Illiquid, higher-yielding, cannot be sold quickly without accepting a discount.
Produces the return

CREDIT LINE
A borrowing facility the fund can draw on to meet redemptions without selling.
Risk: lenders may pull back exactly when redemptions peak

The trade-off the manager cannot escape

Bigger sleeve = safer in a redemption wave, but cash earns less than private loans, so returns suffer. This is called **cash drag**.

Smaller sleeve = better returns, but a redemption wave forces you to sell good assets cheaply, or to gate.

Sleeve sizing estimates vary by source: one institutional source cites 5–15% of NAV; Morgan Stanley suggests 10–20% in normal conditions. Neither is a standard.

3.2 Getting in: net asset value

NAV (net asset value). The value of everything the fund owns, minus what it owes, divided by the number of shares. It is the price at which you buy in and the price at which you are bought out.

For a stock market fund, NAV is easy — the market prices everything every second. For a fund holding private loans, **there is no market price**. The fund must *estimate* what each loan is worth, typically using discounted cash flow and comparable market yields, reviewed by independent valuation firms and the auditor. Most private credit evergreen funds strike NAV **monthly**.

This matters enormously, and we return to it in Part 8: **every investor buys and sells at a price the manager calculated.**

3.3 Getting out: the tender offer

This is the heart of the structure. Each quarter, the fund *offers* to buy back a limited number of shares. The standard cap is **5% of shares outstanding per quarter** — roughly 20% a year if used fully.

One quarterly tender, step by step — using Ares' ASIF, Q1 2026

1. THE OFFER — Fund offers to buy **up to 5%**

2. REQUESTS IN — Investors asked for **11.6%**

3. OVERSUBSCRIBED — Demand exceeds cap by more than 2x

4. PRO-RATION — Everyone scaled by **43.1%**

5. PAID OUT — **$523.5m** rest must re-apply

What pro-ration means for one person

An investor asked to withdraw **£100,000**. Because requests were more than double the cap, each request was scaled to **43.1%**.
They received **£43,100**. The remaining £56,900 stays invested, and they must submit a fresh request next quarter.

Why the cap exists — and why it is a protection, not a trap

Without it, the fund would have to dump illiquid loans at fire-sale prices to raise cash. That would crystallise losses for *everyone*, including the investors who stayed. **The cap protects the people who did not ask to leave** from the people who did.

One more charge to know: the early repurchase deduction. ASIF repurchases shares held under one year at **98% of NAV** — a 2% deduction.
It discourages short-term money in a long-term fund. It does not apply to shares bought through dividend reinvestment, and can be waived in defined cases.
Sources: Ares Q1 2026 disclosures on the ASIF tender; ASIF offering documents. Check the current prospectus for live terms before relying on them.

"Gating" is the word you will see in headlines. It usually describes exactly this: requests exceeded the cap, so everyone got a proportion. It is the structure working as designed — though that is cold comfort to someone who wanted their money.

> **THE ONE SENTENCE THAT CAPTURES THE WHOLE STRUCTURE**
>
> **An evergreen fund is a liquidity transformation engine.** It takes assets that take three to seven years to repay and turns them into a product offering quarterly, partial, rationed liquidity — managed with a cash sleeve, a credit line and a cap. Every argument about these funds is ultimately an argument about whether that transformation is honestly explained and prudently sized.

PART 4

The wrappers

The same idea, in five different legal costumes, depending on the country and the investor.

"Evergreen" describes the *economics*. The legal structure is a separate choice, driven by where the investor lives and what the regulator permits. Ares uses most of these.

WRAPPER	WHERE	WHAT IT IS	KEY MECHANICS — AND WHICH ARES VEHICLE USES IT
Non-traded BDC	US	A business development company that lends to mid-sized companies but is not listed on an exchange.	Must distribute most income. Quarterly repurchases typically up to 5% of NAV. **Ares: ASIF** — $24.3bn AUM, 10.9% annualised net return since 2023 inception.
Listed BDC	US	The same, but traded on an exchange. Technically perpetual, with daily liquidity via the market.	You sell to another investor, not back to the fund — so the price can differ from NAV. **Ares: ARCC**, Nasdaq-listed since 2004, $35.9bn.
Non-traded REIT	US	A real estate investment trust, not exchange-listed.	Same tender mechanics applied to property. **Ares: Diversified non-traded REIT** ($7.4bn) and **Industrial non-traded REIT** ($7.6bn).
Interval fund	US	A registered closed-end fund that *must* offer repurchases at set intervals by regulation.	Typically 5% of NAV per quarter as an SEC minimum. The difference from a tender-offer fund is that the window is **mandated**, not discretionary. Ares has said it is developing interval fund structures for mass-affluent investors.
ELTIF European Long-Term Investment Fund	EU	An EU-wide wrapper designed explicitly to let retail investors access long-term private assets.	**ELTIF 2.0** (the 2024 overhaul) cut the minimum in eligible long-term assets from 70% to **55%**, permitted funds-of-funds, and raised the debt limit from 30% to 50%. ELTIF assets reached **€20.5bn by end-2024**. **Ares: the Open-Ended European Direct Lending ELTIF**.
LTAF Long-Term Asset Fund	UK	The FCA's equivalent, aimed partly at opening UK pension money to private assets.	Open-ended, typically monthly dealing with notice periods. Newer and smaller than the ELTIF market.
J-REIT	Japan	A Tokyo-listed property trust.	**Ares runs one** — $7.5bn, 13.3% annualised net since 2012, the best long-run return of Ares' perpetual real estate set.

Ares AUM and returns as at 31 December 2025, from the FY2025 Form 10-K. Returns are annualised since inception, net of fees. Past performance is not indicative of future results.

WORTH KNOWING · WHY ARES RUNS AN ELTIF SPECIFICALLY

Ares has **$84.7bn of European direct lending** — one of the two or three genuinely scaled European platforms. An ELTIF is the only efficient way to sell that strategy to European individual investors across borders. **The wrapper exists to match the distribution opportunity to the asset Ares already has**, which is the general rule: managers do not build evergreen funds because the structure is elegant, they build them because a specific channel cannot buy the drawdown version.

PART 5

Ares' evergreen shelf

Twelve vehicles, with what each charges and how each has performed.

This table is assembled from the fee schedules and fund performance tables in the FY2025 10-K. **Nobody applying for this role will have put it together**, because it requires cross-referencing two separate disclosures.

VEHICLE	STRATEGY	SINCE	AUM	BASE FEE	PERFORMANCE FEE	NET RETURN SINCE INCEPTION
ARCC listed BDC	US direct lending	2004	$35.9bn	1.50% of total assets ex-cash	Part I: 20% above 1.75%/qtr	**12.0%**
ASIF non-traded BDC	US direct lending	2023	$24.3bn	1.25% of NAV	Part I: 12.5% above 1.25%/qtr	**10.9%**
CADC	US direct lending	2017	$8.7bn	1.25%	Part I: 15% above 1.50%/qtr	7.0%
Industrial non-traded REIT	Real estate	2017	$7.6bn	1.25% of NAV	12.5% above 5% hurdle	8.5%
J-REIT Tokyo-listed	Real estate	2012	$7.5bn	Three-part formula	—	**13.3%**
Open-ended core alternative credit fund	Asset-based finance	2021	$7.5bn	0.50%–1.50%	15% above 6% hurdle	8.8%
Diversified non-traded REIT	Real estate	2012	$7.4bn	1.10% of NAV	12.5% above 5% hurdle	6.5%
Open-ended European direct lending fund	European DL	2024	$6.4bn	1.25% of NAV	Part I: 12.5% above 1.25%/qtr	9.6%
APMF	PE secondaries	2022	$5.0bn	1.40% of total assets	12.5% quarterly	**14.2%**
Open-ended European DL ELTIF	European DL	—	—	1.25% of NAV	Part I: 12.5% above 1.25%/qtr	—
Open-ended core infrastructure fund	Infrastructure	—	—	1.25% of NAV	Part I: 12.5% above 1.25%/qtr	—
Open-ended Sports, Media & Entertainment Opportunities Fund	US direct lending	—	—	**1.40% of NAV** the highest base fee on the shelf	—	—

Dashes indicate the vehicle appears in the 10-K fee schedule but not in the significant-fund performance tables, which only cover funds above a materiality threshold. ACRE (listed REIT, 1.50% of stockholders' equity) and ARDC (listed, 1.00%) also sit in the perpetual set. Source: Ares FY2025 Form 10-K; returns as at 31 December 2025, annualised, net of fees.

THREE THINGS TO NOTICE IN THIS TABLE

1. The non-traded vehicle is cheaper than the listed one. ARCC charges 1.50% on total assets with a 20% Part I fee; ASIF charges 1.25% on NAV with a 12.5% Part I fee. The retail product is the *better-priced* one — the opposite of what most people assume.

2. The longest-running vehicles have the best returns. ARCC (2004) at 12.0% and the J-REIT (2012) at 13.3% have compounded through multiple cycles. That is the core argument for perpetual structures: time in the market, uninterrupted by fund wind-downs.

3. The sports fund charges the most. At 1.40% of NAV it carries the highest base fee of any Ares open-ended vehicle — specialist, scarce access commands a premium.

5.1 How much of Ares is perpetual

Ares perpetual capital, Q2 2026 — $223.3bn, up 34% year on year



The correction almost everyone needs

"Evergreen" is not a synonym for "retail". **Only about a third of Ares' perpetual capital sits in wealth vehicles.** The rest is institutional: private commingled funds, listed vehicles, and separately managed accounts for single institutions — many of them **insurers**, who want capital continuously deployed against thirty-year liabilities rather than returned to them every ten years.

The scale of it: 93% of Ares' management fees come from perpetual capital or long-dated funds. This is not a side business. It is the business.

Source: Ares Q2 2026 earnings materials; the 93% figure from the FY2025 Form 10-K, "Management Fees By Type".

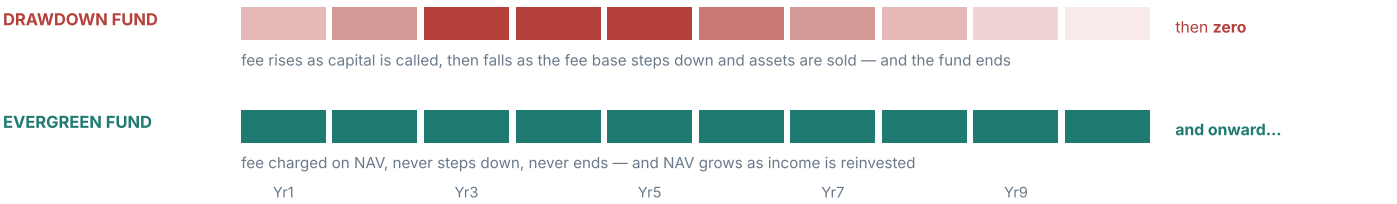
PART 6

Why the manager wants this so badly

Follow the economics and the entire industry strategy becomes obvious.

Evergreen funds are usually explained as a favour to investors — access, lower minimums, no capital calls. All true. But the manager's motivation is simpler and worth stating plainly.

The same £1bn, as a fee stream — illustrative



What this buys the manager — three things

1. No fundraising treadmill. A drawdown manager must raise a successor fund every 2–3 years or revenue collapses. An evergreen fund compounds instead.

2. A growing fee base. The fee is charged on NAV, and NAV rises as income is reinvested. *The fee base grows without anyone selling anything.*

3. Predictable earnings. Ares earns 93% of management fees from perpetual or long-dated vehicles, which is why its fee-related earnings are valued like a subscription business.

And the price paid for it: perpetual does not mean permanent. Investors can leave each quarter, so the manager must **keep earning the money every quarter**.

That last line is the whole reason client service matters here. In a drawdown fund an unhappy investor is locked in until the fund winds up. In an evergreen fund they can file a redemption request in ninety days. **The structure converts client satisfaction from a soft virtue into a hard revenue variable.**

$68bn
ARES WEALTH AUM
At Q1 2026, up 54% year on year.

$125bn
STATED TARGET

8
SEMI-LIQUID PRODUCTS

By 2028 — roughly a doubling from end-2025's ~$66bn.

On 80+ global platforms, though nearly half of partners carry only one.

PART 7

The 2026 stress test

The structure's first real examination. Here is what happened and what it actually proved.

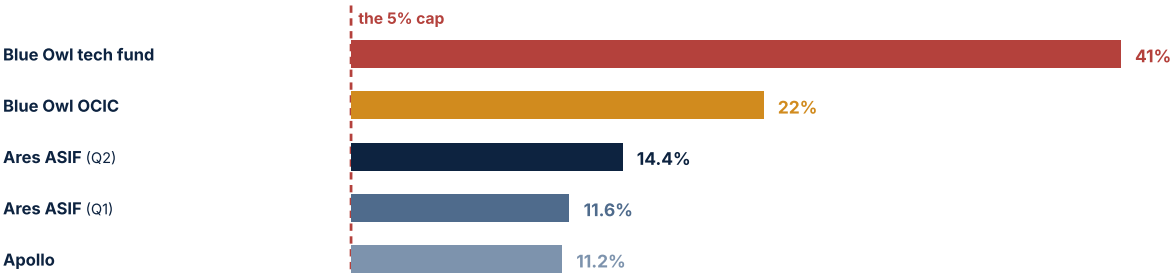
Evergreen funds grew up in a benign decade. 2026 was the first year they were properly tested — and the results are more interesting than either the cheerleaders or the critics will tell you.

7.1 What triggered it

- **Two fraud-driven collapses in late 2025.** Tricolor pledged the same auto-loan collateral to multiple lenders. First Brands failed with $11.6bn of liabilities amid allegations of fabricated receivables. Neither was a credit-cycle event, but both shook confidence.
- **The AI thesis.** Investors decided artificial intelligence might destroy the mid-market software companies that private credit funds lend to. Ares shares fell roughly 32% in Q1 2026.
- **The result:** a wave of redemption requests across the industry's non-traded vehicles.

7.2 What happened, across the industry

2026 redemption requests as a share of fund shares, against the standard 5% quarterly cap



All five funds pro-rated. Ares sat in the middle of the pack — materially better than Blue Owl, roughly level with Apollo. This was a sector event, not an Ares event.

7.3 What the detail showed

Evidence the structure held

- **Over 95% of ASIF investors did not request redemption** at all.
- Requests from the **US private wealth channel were only 2.4% of shares** — below the cap — and fell more than 35% quarter on quarter.
- Nearly **half** of all requests came from smaller non-US institutions and family offices representing **under 1% of the fund's 20,000+ shareholders**.
- No fund was forced into a fire sale. The caps did their job.
- Ares still raised a **record $36.4bn in Q2 2026** and closed Pathfinder III oversubscribed at $8.5bn against a $6.5bn target.

Evidence the critics have a point

- **Two consecutive quarters of pro-ration** at ASIF. Investors who wanted out got 43.1% in Q1, then had to queue again.
- The promise of "quarterly liquidity" proved to be **quarterly *partial* liquidity** precisely when people wanted it most.
- Industry-wide, **non-traded BDC fundraising fell 82%** year on year in Q2 2026, to $2bn.
- US evergreen **private credit net assets fell about $1bn in Q1 2026** — the segment Ares leads is the one losing momentum, while private equity and venture evergreen funds gained.
- In April 2026, House Financial Services Committee Democrats sent inquiries to Ares and six peers covering marketing, valuation, fees, leverage and BDC handling.

THE HONEST VERDICT

The structure worked mechanically and failed reputationally. No fund collapsed, no fire sale occurred, the caps protected remaining investors exactly as designed. But a large number of people discovered, at the worst moment, that "semi-liquid" meant something more restrictive than they had understood. **That gap — between the mechanism and the expectation — is the single biggest unresolved issue in this corner of the industry**, and it is a communication problem before it is a structural one.

PART 8

The criticisms, taken seriously

Five real objections. You should be able to state each one better than a sceptic would.

#	THE CRITICISM	THE ARGUMENT AGAINST	THE DEFENCE — AND WHAT REMAINS TRUE
1	**Liquidity mismatch**	The fund promises quarterly liquidity while holding assets that take years to repay. Critics argue that when markets turn, the tension resolves one way: the fund gates.	The cap is disclosed up front and protects remaining investors from forced selling. **Still true:** the marketing emphasises the liquidity far more prominently than the cap, and 2026 proved the cap binds in exactly the conditions people most want out.
2	**NAV staleness**	Private assets are valued by periodic appraisal, not by a market. The reported NAV may lag reality — so investors buy and sell at a price the manager calculated.	Valuations use discounted cash flow and market-comparable yields, with independent third-party review and annual audit. **Still true:** there is genuine judgement involved, and a lagging NAV advantages whoever transacts first. This is why clear explanation of valuation method is the **top trust driver** in LP surveys.
3	**Cash drag**	The liquidity sleeve — perhaps 5–20% of the fund — sits in cash and short-dated credit yielding far less than private loans. Investors pay private-market fees on public-market assets.	The sleeve is what makes any liquidity possible; it is the cost of the wrapper. **Still true:** an evergreen fund will generally trail an equivalent drawdown fund over a full cycle, and investors should expect that trade.
4	**Fees on unrealised marks**	Performance fees can be charged on gains that exist only as valuations, not as cash. The manager both calculates the mark and is paid on it.	Hurdles, high-water marks and loss carry-forwards limit this, and Part I fees at Ares are charged on *net investment income* — actual earnings — rather than appreciation. **Still true:** the conflict is structural and cannot be fully designed away, only disclosed and governed.
5	**Suitability**	Are individual investors equipped to judge an illiquid, complex, hard-to-value product? Regulators are asking exactly this.	Suitability standards, minimums and adviser gatekeeping exist. ASIF's stated standards, for instance, require minimum income and net-worth thresholds. **Still true:** the April 2026 congressional inquiries indicate the question is live, and distribution standards may tighten.

HOW TO HANDLE THESE IN AN INTERVIEW

Do not defend the structure reflexively. The strongest thing you can do is state the criticism accurately and then add the nuance — "the liquidity mismatch is real, and 2026 showed the cap binds exactly when people want out; what the data also showed is that over 95% of ASIF holders didn't ask to leave and the US wealth channel's requests were under the cap at 2.4%." **That is a person who understands the product, not a person selling it.** Someone who claims there are no downsides will not be believed by anyone who works in the industry.

PART 9

What this means for the role

Why evergreen funds make Client Solutions a harder and better job than it was a decade ago.

The shift from drawdown to evergreen changes the client-facing job in four concrete ways. These are worth understanding because they are the actual texture of the work.

1 The relationship never ends

A drawdown fund has a beginning, middle and end — you raise it, then you raise the next one. An evergreen fund has **a client who can leave every ninety days, forever**. There is no "closed" moment. Retention stops being a periodic campaign and becomes a continuous obligation.

2 Flows are the scoreboard

The relevant metric becomes **net flow** — subscriptions minus redemptions — reported monthly. Ares' wealth channel generated $3.9bn of gross equity commitments in Q2 2026, up 15%. You would see that number constantly, and your work would move it in both directions.

3 You explain the same thing to two audiences

Ares runs the *same* direct lending strategy for a sovereign wealth fund via a bespoke mandate and for an individual via ASIF. The asset is identical; the vocabulary, the regulatory wrapper and the concerns are completely different. **Very few seats teach you both.**

4 The hardest conversation is now routine

Explaining pro-ration to someone who wanted their money is not an edge case in 2026 — it is a recurring task. Doing it accurately, without defensiveness, while explaining *why* the cap protects them, is the most transferable skill the structure produces.

SAY THIS — IF EVERGREEN FUNDS COME UP

"What interests me about the evergreen shift is that it changes what client service *is*. In a drawdown fund an unhappy investor is locked in until the wind-down. In a perpetual vehicle they can file a redemption request every quarter, so satisfaction turns into a revenue variable you can actually measure. Ares has about $223bn of perpetual capital and earns 93% of management fees from perpetual or long-dated vehicles, so that dynamic sits right at the centre of the firm. And 2026 tested it properly — ASIF pro-rated two tenders, which was uncomfortable, but over ninety-five percent of holders didn't ask to leave and the US wealth channel came in under the cap. I'd rather learn the job in that environment."

9.1 Twelve terms, defined

TERM	PLAIN MEANING
Evergreen / perpetual	A fund with no end date. Money stays and is reinvested indefinitely.
Semi-liquid	The same thing, named after what it offers investors: some liquidity, not full liquidity.

NAV	Net asset value. What the fund owns minus what it owes, per share. The buy and sell price.
Tender offer	The fund's periodic offer to buy back shares. Usually quarterly, usually capped at 5%.
Pro-ration	Scaling everyone's request down by the same factor when requests exceed the cap.
Gating	Informal term for limiting redemptions. Usually describes pro-ration in practice.
Liquidity sleeve	The portion held in cash and liquid assets to fund redemptions. Roughly 5–20%.
Cash drag	The return lost because the sleeve earns less than the private assets.
Early repurchase deduction	A penalty — commonly 2% — on shares sold within a year. ASIF repurchases these at 98% of NAV.
Part I fee	A quarterly fee on net investment income above a hurdle. Ares counts it as a management fee because it recurs.
J-curve	The early dip in a drawdown fund's returns. Evergreen funds largely avoid it.
Net flow	Subscriptions minus redemptions. The health metric for any evergreen vehicle.

PART 10

Sources and honesty notes

SOURCE	USED FOR
Ares FY2025 Form 10-K SEC EDGAR, CIK 1176948	The complete evergreen shelf in Part 5 — fee rates, fee bases, Part I hurdles and catch-ups for every perpetual vehicle; AUM and net since-inception returns as at 31 Dec 2025; the 93% of management fees from perpetual or long-dated funds; the perpetual capital definition.
Ares Q1 2026 earnings call	The ASIF Q1 tender detail (11.6% requested, 43.1% honoured, $523.5m paid); >95% of holders not redeeming; the 2.4% US wealth channel figure; wealth AUM of $68bn, up 54%.
Ares Q2 2026 materials	Perpetual capital of $223.3bn and its four-way split; the 14.4% Q2 tender; record $36.4bn raised; $3.9bn wealth gross commitments.
Ares 2025 Annual Shareholder Letter	Eight semi-liquid products on 80+ platforms; the single-product distribution partner statistic.
ASIF offering documents and supplements	The 5% quarterly repurchase plan, pro-rata treatment, the 2% early repurchase deduction at 98% of NAV, DRIP exemption and waiver categories, share class minimums and suitability standards.
Morningstar / PitchBook, 2026	US evergreen market of $607bn across 567 funds as at 31 March 2026; the ~$1bn Q1 decline in evergreen private credit net assets; the $1.1tn by 2029 projection.
MSCI and HSBC	Annual flows rising from ~$10bn in 2020 to a projected ~$74bn in 2025; global indefinite-life AUM of ~$2.7tn at end-2024 projected to ~$4.4tn by end-2029.
ELTIF 2.0 regulatory sources	The 55% eligible-asset minimum (reduced from 70%), funds-of-funds permission, the 30%→50% debt change, and €20.5bn of ELTIF AUM at end-2024.
CAIA, Morgan Stanley and industry commentary	Liquidity sleeve sizing ranges and the cash-drag/credit-line trade-off; the NAV staleness critique.
Bloomberg and trade press	Peer redemption comparisons; the April 2026 House Financial Services inquiries; the 82% fall in non-traded BDC fundraising.

READ BEFORE QUOTING

- **Market-size figures are not comparable across sources.** The $607bn is US-only; the $2.7tn–$4.4tn figures are global and include broader indefinite-life structures; the $1.1tn projection covers wealth-focused vehicles. Say which basis you mean.
- **Liquidity sleeve percentages are ranges, not standards.** One institutional source cites 5–15% of NAV, Morgan Stanley suggests 10–20%. Ares does not publish a figure for its own vehicles, so **do not attribute a sleeve size to Ares**.
- **ASIF terms should be checked against the current prospectus.** Some of the share-class minimums and suitability standards come from older filings and investor summaries. The 5% cap, pro-rata treatment and 2% deduction are well corroborated; the specific minimums are less so.
- **The congressional item was written inquiries, not testimony.**
- **The return comparison chart in Part 2 is illustrative**, not based on specific funds.
- **Fund returns are as at 31 December 2025**, annualised and net of fees. Past performance is not indicative of future results. **Ares reports Q3 2026 on 29 October 2026** — the redemption and wealth figures here may move.
- **The Part 5 shelf table is my own assembly**, cross-referencing the 10-K's fee schedules against its fund performance tables. Dashes mean the vehicle appears in one disclosure but not the other, not that data is hidden.

The six things to carry away

1. **An evergreen fund has no end date.** Money comes in monthly at NAV; it leaves via a quarterly tender capped at about 5%.
2. **It is a liquidity transformation engine** — illiquid assets, rationed liquidity, managed with a cash sleeve and a cap.
3. **When requests exceed the cap, everyone is scaled down.** ASIF honoured 43.1% of each Q1 2026 request, paying $523.5m. The cap protects those who stayed.
4. **"Evergreen" is not "retail".** Only about a third of Ares' $223.3bn of perpetual capital sits in wealth vehicles; the rest is institutional, including insurers.
5. **It is the business, not a side business.** 93% of Ares' management fees come from perpetual or long-dated vehicles.
6. **The real criticisms are liquidity mismatch, NAV staleness and cash drag.** State them accurately — you will be more credible than someone who claims there are none.